COUNTRY REPORT

Steering at a Distance: A New Paradigm of Public Governance in Dutch Higher Education

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In the 1980s a new concept of government steering was developed at the Dutch ministry of Education and Sciences, called "steering at a distance." It is a departure from "classical" government steering by means of legislation, prohibitions and regulations and a move towards more autonomy and self-responsibility for institutions of higher education. This new paradigm of public governance in Dutch higher education represents a drastic change both in a practical sense — the new steering concept has actually been carried out and implemented resulting in major institutional, legal, financial and planning changes — and in the scientific sense. The new concept departs from hierarchical, direct top-down control. Government is only one of the influencing actors in a complex network of many interrelated, more or less autonomous actors. The new concept contributes to the scientific body of knowledge on steering in complex interorganizational networks.

During my six-year involvement in the Dutch Ministry of Education and Science, a new concept of government steering was developed, called "steering at a distance." It is a departure from classical government steering by means of legislation, prohibitions and regulations and a move towards the autonomy and the delegation of responsibilities to institutions of higher education — in other words, towards autonomy. Under the new system, intervention is restricted to *ex-post facto* adjustments based on quality assessments of results — in other words, feedback control output. Deregulation, privatization, government withdrawal, etc. have attracted scientific attention all over the Western world. What has happened in the Netherlands, however, goes further. A completely new concept of government control was developed which represents a fundamental change in the practical sense and an innovation in the scientific sense.[1]

This approach to government control's practical relevance is that it was not merely a theory produced by a scientist or a proposal of an advisory group, but a steering concept which emanated from within government itself. It has resulted in major institutional, legal, financial and strategic changes for universities and institutes of higher professional education. It is likely that in the future this concept will also be applied in secondary

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and primary education. The scientific relevance of the new concept is that it departs from the traditional idea of top-down direct government control and moves toward the idea that government is only one influential protagonist in a more or less interdependent network. The new concept contributes to the scientific body of knowledge on interorganizational policy networks and to cybernetic theories on the (self)steering of complex systems.

The political relevance of this concept should not be underestimated, particularly for countries with a predominantly negative public and political attitude toward government steering, for example the United States. The new concept is not simply another form of government withdrawal, or yet another example of bureaucracy bashing, but a genuine attempt to improve government effectiveness. The diagnosis of the problem of governmental dysfunction leads not to abolition but to the restoration of public governance.

In this article the new conception of government steering in Dutch higher education is described and related to both the socio-political and the scientific contexts. First, the concept of "steering at a distance" will be introduced by describing the three main documents in which the Ministry of Education and Science presented its ideas. Second, insight into the new form of governance in the educational sector requires insight into the political and social context of the time. Finally, attention is devoted to the scientific relevance of the new concept. The relationship of the concept to scientific theories in administration and policy networks, and to cybernetic theories on open and complex multilevel systems will be discussed.

STEERING AT A DISTANCE

Higher Education, autonomy and quality

In 1985 the minister of education and science published a white paper entitled "Higher Education, Autonomy and Quality" in which an increase in the autonomy of the institutions of higher education was proposed. The white paper analyzed the existing system of government regulation and came to the conclusion that it was not nearly effective enough for the following reasons:

steering was too detailed and not sufficiently global;

educational institutions concerned did not have sufficient responsibility;

monitoring and quality control of education were inadequate.

The following requirements which government policy should fulfill were derived from the general aims of the system of higher education:

higher education should be flexible enough to adapt the changing needs of society;

the independence and responsibilities of the institutions concerned should be increased;

government should stimulate the desired main developments and play a coordinating and quality-control role;

the administrative load throughout the whole system should be reduced.

The main line of reasoning was that the increasing variety in social demands and hence the increasing need for educational innovation implied the necessity for the increased autonomy of educational institutions. Autonomy was considered a prerequisite for innovation, flexibility and variety, and therefore also a prerequisite for increasing quality. Institutional autonomy also should apply to the responsibility for the quality of their output. Formal legislation and regulations should be reduced to a minimum and institutional autonomy made as sweeping as possible. Higher education should be self-steering, with government intervening only in extreme cases. However, under such a system, attention to results and the quality of the results are essential.

The following measures were proposed:

to globalize government steering — government should not intervene to a level lower than the "sector;"

to increase autonomy by globalizing or abolishing regulations and procedures;

to enhance the importance of quality assessment at all levels.

The proposed changes in the administrative relationship between government and the field of higher education were formulated in a "control systems" language which is remarkable for an official government document. Not only was the formulation remarkable, the general idea behind the proposals consisted mainly of a change in the concept of steering. Reframed in terms of a "control system" the proposals amount to the following:

from the point of view of innovation, flexibility and variety, existing government control of higher education, which has to adapt to a dynamic environment (the requirements of society) is ineffective;

the most effective way of making the system adaptive, flexible and innovative is to make it autonomous;

government control of the system is changed in two ways: First there is a shift from detailed to more general control (deregulation and globalization to "sector" level). Second it is changed from *ex-ante* control of inputs (legislation and regulations) to *ex-post* control of outputs (quality assessment).

Higher Education and Research Plan

In 1987 the minister of education and science published a "Higher Education and Research Plan" in which a new planning system was introduced. It advocated an open dialogue between government, institutions

of higher education and other interested social organizations. In planning the future, one should first recognize that uncertainty can never be eliminated. Its inherent complexity should be recognized; a variety of more or less independent actors influence its outcome. Coercive unilateral statements by government about future actions are ineffective in such conditions. Planning should be based instead on mutual persuasion, on an open dialogue. Participants in the dialogue should base their arguments on documented facts and reasoning, thus increasing the rationality of the dialogue.

The higher education and research plan therefore did not consist mainly of announcements on what policy the government intended to pursue. The plan consisted primarily of analyses and diagnoses of problems. Mutual acceptance of a problem diagnosis is a precondition for rational discussion. Besides problem analyses, the plan also consisted of proposed solutions. The plan specified what the ministry wanted to do or wanted others to do. These would be subject to dialogue before being converted into decisions and actions by either government, educational institutions or third parties. Government *desiderata* were therefore formulated as an agenda for dialogue.

The dialogue was to be based not only on the planning document of the ministry but also on planning documents of the institutions of higher education. Furthermore the dialogue would not be restricted to institutions and government, but would also include other relevant groups such as employer and employee organizations and professional associations in order to stimulate the adaptation of higher education to social needs.

The higher education and research plan replaced a large number of previously separate plans. The plan was intended to be an integral plan for all subsystems of higher education — universities, polytechnics, teaching hospitals, research institutes — and for all sectors of higher education. The ministerial plan was to be published biannually while the plans of the educational institutions were supposed to appear every other year. The planning system would therefore be cyclical. The higher education and research plan was presented as the next step in the continuing evolution of the ministry's concept of steering. The ministry was in search of a new concept of steering and was trying to develop a consistent approach. Systematic distinctions were made in objectives, objects and instruments of steering.

The Higher Education and Scientific Research Act

The new steering concept introduced in the white paper of 1985 and actually applied in the merger of higher professional education was not compatible with existing legislation. It was very difficult, therefore, for the ministry to apply the new steering concept in practice. The ministry made several agreements with institutions of higher education not to apply certain regulations, but in a democratic "Rechtsstaat," deregulation

must be brought about in accordance with legal procedures. Some existing legislation therefore had to be changed. In the meantime an increasing number of individuals and organizations were expressing their doubts as to the sincerity of ministerial commitment to "steering at a distance" as the actions of the ministry continued to contradict the new ideas on governance.

On the other hand, legislation governing university education was fairly new; legislation on higher professional education had been drastically amended in 1986, and the legislation on the Open University was enacted in 1985. In the Netherlands it usually takes at least three to five years to enact legislative reform. This casts serious doubt on the feasibility of comprehensive reform of all legislation. If the ministry had wanted to adapt legislation rapidly it may have been better to restrict itself to small changes in existing laws. Nevertheless, it was decided to develop new comprehensive legislation for the whole system of higher education and scientific research. The preliminary act was produced by the minister of education and science in 1988. It formulated the principles of the new concept of steering as follows:

> government intervention in undesired developments should take place only when autonomy is producing unacceptable results;
>
> government intervention should consist mainly of the *ex post facto* correction of serious defects, affecting main issues, not details;
>
> generality should characterize control instruments;
>
> prescriptions should induce institutes to adapt norms which are reasonable and provide for legal security and proper administration.

The act also reflected the desire to legislatively deregulate. The number of regulations was kept as small as possible and the regulations were not detailed but general. If government intervenes on main issues using "serious" control instruments, a "serious" burden of proof lies on its shoulders with respect to the legitimacy of such interventions. The act stipulated that the institutions should state substantive norms themselves, thus stimulating them to take on as much responsibilities as possible.

Figure 1 illustrates the development of government steering envisaged in the act.

The departure from coercive regulations and the move toward noncoercive steering instruments played a central role in the higher education and research plan. Dialogue between participants was to be on the basis of documented rational argumentation among equals. The white paper of 1985 emphasized that the focus of government steering should shift from *ex-ante* regulation of inputs to *ex-post* steering on outcomes. A system of quality assessment of the results therefore had to be developed. Decreasing direct control by the central protagonist — the ministry of education and science — and increasing the autonomy and responsibilities of the institutes of higher education was the essence of the change. The main

FIGURE 1.
Development of Steering

FROM		TO
	instrument	
coercion	→	persuasion
	object of steering	
conditions	→	outcomes
	actor	
central	→	autonomous
	objective	
closed	→	open
reactive	→	anticipatory

argument for increasing the self-steering capacity of the higher educational system was that it should be able to respond more rapidly and flexibly to changing social demands. In other words, an open system has to be actively flexible.

SOCIO-POLITICAL CONTEXT AND GOVERNMENT STEERING

Planning and Control

The new concept of government steering of higher education cannot be isolated from more general theories of government steering. Government steering of the national economy was introduced on a large scale after the Second World War. The reconstruction of the countries which had been devastated by the war was considered a state responsibility.

In the Netherlands the rise of government planning led to the establishment of planning bureaus for several facets of government policy: economic, physical and socio-cultural. A scientific council was established to advise the government on integral planning. The rise of the welfare state was accompanied by a huge increase in the tasks and size of public administration. The planning and control roles of government became more and more important, and the 1973–1977 coalition cabinet of Social Democrats and Christian Democrats was the heyday of integral government planning. The possibilities of government control were considered almost unlimited. The motto of this cabinet was that government should strive for a "spread of income, power and knowledge."

The first oil crisis ended the era of unshakable faith in planning. The economy appeared difficult to control and government influence on the

economic recession proved to be relatively small. Unemployment grew and kept growing despite government plans. The pressure on the national budget led to inevitable cutbacks in many policy areas. Government planning in times of austerity was less successful than in the old days of plenty. Moreover, in the Netherlands the Liberal party took power from the Social Democrats in 1977. In the Netherlands, as in many other European countries, liberals are opponents of extensive government control. The short intermezzo in 1981–1982 of a coalition of Socialists and Christians led to a last and unsuccessful social democrat attempt to counter the economic tide by planning. From 1982 until the summer of 1989, a liberal Christian coalition held power. The main objective of these cabinets was to put the economy right by cutting the budget by withdrawal of government, privatization and deregulation. A "no nonsense" approach was preferred to integral planning (Kickert 1986). For example, the government agreement of 1986, which formed the basis of the 1986–1989 government, made clear that deregulation and diminishing state control were considered highly desirable. Its paragraph on education explicitly stated that deregulation and increased school autonomy were to be effected during that cabinet period.

Intermediate Layer Between State and Society

In the Netherlands there is in many sectors a wide layer of intermediate institutions between state and society. This boundary area consists of institutions which in a legal sense are not part of the government but which perform social functions hardly distinguishable from public tasks. In the Netherlands the implementation of social services, such as education and health and welfare, is generally carried out by private institutions based on religious or ideological conviction, a practice described as "compartmentalized" private initiative (Lijphart 1968). [The scope for limitations of] Government steering is very much determined by this relationship between state and society which consists of complex networks of government organizations, consultative and advisory organizations and private law service organizations, to name but a few.

This relationship has changed. Since the Second World War, society has been secularized (Lijphart 1968). The values and norms which used to guide individual behavior in society have become less and less influenced by the church. The influence of Christian ideologies on society has diminished, church attendance has dropped, the power of Christian social organizations has decreased and successive elections have resulted in a loss of votes for the various Christian political parties.[2] The behavior of individual citizens became less guided by the traditional coherent values and institutions. With secularization and greater individualism, the role of the state increased. The influence of the state on social services grew as government expenditure on it increased. More legislation and regulation, more planning and more financing controls were introduced. The

economic recession at the end of the 1970s and the subsequent government budget cuts halted this trend. Government had to economize and withdraw from many areas.

This financial and administrative necessity for government withdrawal was also supported by ideological arguments. The growing influence of the state on social services was argued to have undesired side effects. More and more citizens became dependent on the state. The desirability and legitimacy of a welfare state taking care of its citizens "from the cradle to the grave" came under criticism. Increased dependency on state subsidies has made social service institutions behave like parts of government. Institutions which formerly operated autonomously became extensions of the state, and social institutions became businesslike professional organizations serving the interests of their "clients." In the society of individualism citizens no longer pay for and determine their own social services through the "collection box." The citizen has become a customer and thus behaves as a consumer, obtaining maximum service for a minimum in taxes and premiums paid to the anonymous state. Society has become "atomized;" solidarity and communal civic sense have been eroded (Van Doorn 1978). This line of argument induced the Christian Democratic party to adopt the idea of the "responsible society," in which citizens should become less dependent and helpless, and should bear more responsibility for themselves and for each other. A sense of social and civic duty should be restored and coherence in social services should be more determined by citizens within their own social organizations. Organizations operating in the field between state and society should be given more room to maneuver.[3] The proposal of the Christian Democratic minister of education and science to decrease the regulatory command of government and to grant the institutions providing the social service "higher education" more freedom and self-responsibility, runs largely parallel to the more ideological idea of "responsible society."

EDUCATIONAL POLITICS

Compartmentalization

The so-called "school struggle" at the end of the nineteenth and early twentieth centuries played a major role in the political history of the Netherlands. In the past, education was a matter for the church. The Dutch constitution was created in the second half of the nineteenth century by the liberal Thorbecke and liberals who preferred the state to be the primary authority in education. This "school struggle" between liberals and Christians, later joined by the socialists who also preferred state education, lasted for many decades. It was finally concluded early this century by the constitutional "freedom of education," which granted "public" (state) schools and "private" (Christian) schools equal rights and equal financial support. This resulted in the typically Dutch phenomenon

of "compartmentalization" — the vertical division of society along religious and ideological lines. Besides "public" (state) division, there are three private "compartments" namely Catholic, Protestant and non-Christian neutral. The constitutional right of "freedom of education" — the freedom to found schools, to organize them and to determine the religious or other convictions on which they are based — is the reason for the wide variety of schools in the Netherlands. Financial equality has produced an intricate structure of legislation and regulations.

Some consider compartmentalization of Dutch education an anachronistic hangover from the last century — research has shown that the denomination of a school nowadays no longer plays a predominant role in parents' choice of school for their children — and consider it an inefficient waste of public funds. However, all attempts to place the issue on the political agenda have so far failed. No Christian Democratic politician will allow an attack on the carefully established and maintained balance among the various "compartments."

Regulation

Compartmentalization takes place in almost all sectors in Dutch society. Such a fundamental society-splitting phenomenon would normally lead to social and political instability Social and political stability in the Netherlands is maintained because the power elites at the top of these "compartments" reach political compromises and agreements (Lijphart 1968). While Dutch society is divided at its foundations, there is cooperation at the top. In educational politics this is reflected in the number and complexity of consultative and advisory bodies forming the national political circuit.

A precarious balance of power results from cooperation within the national elite. In order to insure the implementation of nationally-reached agreements, measures are laid down in legal rules to insure that central government, parliament and national politics remain in command. The regulations are not only central and uniform but also detailed and specific in order to insure that the decentralized implementation of the rules cannot deviate from centrally-reached, intricate compromises. Compartmentalization means that national politics keep a direct, detailed and specific command over education. Overregulation is not the work of zealous bureaucrats but the consequence of the fundamental characteristics of Dutch educational politics. It is therefore all the more remarkable that the development of a new concept of public governance — steering at a distance — has taken place in the field of (higher) education. There are a number of explanations for this.

First, compartmentalization plays a much less important role in higher education than in primary and secondary education. Although the thirteen universities are divided into state universities, two Catholic universities and one Protestant university, denomination does not play a

dominant role in politics and policymaking. Higher professional education, the non-university counterpart in higher education, has also moved in that direction. The recent merger in higher professional education has shown that the denominational identity of institutes did not stand in the way of interconfessional mergers. Second, ministerial policy to deregulate, steer at a distance and grant autonomy was presented in a non-political way as an administrative matter designed to achieve efficiency and to make policy effective. Not a word was said about the political and ideological aspect. The minister himself was a practicing Christian, prominent in the Christian Democratic Party and could be trusted not to disturb the precarious balance. Third, the need to economize played a role. The responsibility to decide how savings were to be made was delegated to the institutes themselves. They were in effect granted the power to perform painful cutback operations on themselves — not the most desirable autonomy one could imagine.

EDUCATION AND SOCIETY

Education and the Labor Market

The task of education is to provide society's members with a balanced personal, socio-cultural, and vocational education. This means a contribution to the education of pupils as individuals, to their social and cultural education which will equip them to participate in a democratic society, and help prepare them to participate in the labor market. Education must perform these three tasks in a balanced fashion. The point of equilibrium may shift as a result of social and economic changes. In the 1980s, greater prominence was given to the vocational aspects, partly to fight youth unemployment. The relationship between education and the labor market received increasing attention. An authoritative advisory committee was set up in 1989 to develop proposals for improving the link between education and the labor market. The committee proposed that vocational education should be granted more autonomy to adapt to labor market demands. In addition, employers should be given more say. As increased influence implies increased responsibility too, employers were requested to assume substantial financial responsibility in support of vocational education but have not responded to this request. The ministry of social affairs and employment has created a tripartite bureau for labor provision in which employers, employees and government have joint responsibility for certain vocational training programs; the link between education and the labor market has been institutionalized.

Demand and Support for Education

Participation in education has increased considerably and will continue to do so. This increasing demand for education is at odds with financial retrenchment in education in recent years. Public and political opinion of

education is not yet highly regarded by the public or by politicians. The teaching profession is no longer highly-regarded and people have doubts about the quality of education. The cost of universities is considered high and their efficiency low. There is very little control of the education budget and expenditures constantly exceed the budget. Since the education budget (Fl. 30 billion) is the largest item in the national budget, the ministry's lack of bookkeeping skills is considered very serious.

In an open and democratic society, the value which society and politics place on any policy sector ultimately determines the future of that sector. Public and political opinion is reflected in the allocation of public funds. The government budget for education has been under severe pressure during the last decade. Education, particularly university education, was a low financial priority, and universities had to cope with a large increase in student numbers while their budgets both in relative and absolute terms decreased.

DEVELOPMENTS IN DUTCH HIGHER EDUCATION

Apart from the relatively new Open University, Dutch higher education consists of thirteen universities and of institutes for higher professional education. A number of developments in higher education have taken place which are relevant to understanding the new concept of government steering.

Higher Professional Education

Whereas universities have a long history of academic freedom and autonomy, this is not the case with institutes of higher professional education. Until 1986 they were subject to the provisions of the secondary education act, which are numerous, complex and detailed. The new higher professional education act of 1986 brought about sweeping changes in almost all areas. The new act removed higher professional education from control by the regulations of secondary education and gave it a degree of autonomy similar to that of universities. These institutes are now autonomous in regard to their educational policy and receive funding in the form of block grants.

The new act also contained conditions for a comprehensive merger process. The 350 mostly mono-sectoral institutes, with on average several hundred students, were considered too small to realize the planned increase in autonomy. In 1983 a merger process was announced. The minister of education and science chose not to regulate the process himself. The institutes themselves were primarily responsible for mergers and the representative council of higher professional education was made responsible for coordinating the process. The government's role was restricted to commenting on provisional plans and approving final merger proposals. The merger process was a success. Only a few institutes, mainly teacher training colleges for primary education opted to remain inde-

pendent. Some 50 large multi-sectoral institutes emerged, half of them with more than 2,500 students and several with over 10,000 which is comparable to the size of some Dutch universities.

The act also introduced a new system of funding in which budgets are calculated according to a simple and clear model and allocated to the institutes as block grants. The model does not prescribe how the money is to be spent. The new system of funding was, however, introduced together with an outright budget cutback of Fl. 68 million and "old for new" savings of Fl. 29 million, amounting to savings of Fl. 97 million. The legal status of the staff also changed. Under the secondary education act, teachers were employed on the basis of teaching hours. Management came from the teaching ranks. The legal status of teaching and administrative staff was brought more in line with that of civil servants with a thirty-eight-hour working week and a normal holiday allowance.

Higher professional education underwent a major process of government deregulation and of increasing managerial and financial autonomy. In many respects this process was an experiment with "steering at a distance." The experiment succeeded far beyond expectations, giving a major impetus to proceed with the new concept of government steering.

University Education

In 1982 a process of task-division and concentration of disciplines took place in Dutch universities, designed to achieve expenditure cuts of Fl. 257 million, plus "old for new" savings of Fl. 60 million. It was considered preferable to end fragmentation within fields of study and to concentrate certain courses in certain places. The process was not directly regulated by the minister. The universities expressed a joint intention to set up a body responsible for drawing up a plan. In a relatively short period and with a minimum of negotiation this body drew up radical proposals for concentration and exchange of courses.

In 1986 the government decided that universities and teaching hospitals were to make cutbacks of Fl. 129 million, plus Fl. 70 million savings for new activities. When this was announced, the executive boards were extremely reluctant to do anything to their own detriment, particularly as the previous round of cuts was still fresh in their minds. The minister of education and science had to take full responsibility for this operation. The drastic proposals again caused a tremendous uproar which, this time, could be fully directed against the ministry. At about the same time some academics and universities expressed their desire to obtain more autonomy in order to become more "entrepreneurial." The desire to become an adaptive and flexible supplier of educational and research "goods" on the competitive market was said to require more autonomy and businesslike structures. A group of prominent and highly esteemed figures drew up a plan for an entrepreneurial university.[4] Such a university should be allowed to select students, charge different fees per course, borrow on capital markets, etc. Although such a university operating in a free-market

economy is normal in the United States, in the Netherlands it was and still is unthinkable. The debate about the "entrepreneurial" university triggered a reconsideration of the principal responsibilities of government in relation to higher education. In a situation where government intends to grant universities more autonomy, it is highly relevant to clarify which responsibilities will remain in government hands.

SCIENTIFIC RELEVANCE

A New Paradigm of Public Governance

In the introduction it was claimed that these changes were more than just another example of the usual government tendency to decentralize, deregulate, privatize and withdraw from public tasks. The new form of steering can be described without any exaggeration as a paradigmatic shift in public governance. The change was more than deregulation in that it encompassed nearly all instruments of government steering: regulation, finance, planning as well as persuasion and information. It was also more than simply another example of decentralization. Central government did not only delegate certain responsibilities to the institutes of higher education. The change was not merely in the balance of authority and responsibility but in administrative relationships between government and institutes on a number of dimensions simultaneously. Both the actors and the objects as well as the instruments and the objectives of the relationships of the steering system were changed. The accumulation of all these changes led to a completely new conceptual framework of government steering, which justifies the use of the somewhat loaded term "paradigm."

It should also be noted that the changes did not amount to a withdrawal of government from public tasks. "Steering at a distance" should not be confused with no government control at all. The argument presented for the change was that the old regulative system was ineffective and that it stood in the way of flexibility, adaptability and innovation. The aim of the change was never to abandon steering but to increase its effectiveness. The expectation was that steering "at a distance" alongside the primary autonomy of the institutes concerned would be much more useful in attaining the desired goals.

NETWORK APPROACH

Interorganizational Network Approach

The scientific relevance of the "steering at a distance" of higher education by the ministry of education and science is that it parallels the development of modern theories on interorganizational (policy) networks in the science of administration and public policymaking. It is a departure from the traditional concept of hierarchical government control in the direction

of the idea that sectors of society consist of more or less independent actors which constitute a complex network. Government is only one of the influencing actors albeit one of the most important. Such a network cannot be controlled top-down as it is mainly self-regulatory.

The interorganizational network approach has attracted scientific attention in various areas. In his treatment of public management Lynn (1981, ch. 6) explicitly relates it to pluralist and elitist models of democracy (Dahl, 1961). In the pluralist vision government is a network of many actors with conflicting interests where decisions are the outcome of negotiations. Relationships between government and institutions within society are the object of interest of political science studies into neo-corporatism (Lehmbruch and Schmitter 1982). The next level of analysis is intergovernmental relations (Mandell 1988), a subject which attracts particular attention in the United States due to its federal structure (Wright and White 1984). In the subfield of policy implementation, the original study of Pressman and Wildavsky (1975) triggered the development of numerous interorganizational studies (Hanf and Scharpf 1979) leading to elaborate theoretical frameworks (O'Toole and Montjoy 1984). In organization sciences the interorganizational approach (Neghandi 1975) is usually considered one main school of thought. Research along these lines originated in the organization-environment studies which took place at the end of the 1960s (Thompson 1967; Lawrence and Lorsch 1967). The management and coordination problem received explicit attention in this field (Rogers and Whetten 1982). The network perspective (Tichy 1981) applies not only to the interorganizational level, but also to the organizational and the sub-organizational levels. Network analysis examines the patterns of relationships between people, groups and organizations. Finally, the subfield of the old "politics in organizations" tradition (March 1962) is worth mentioning. In the "bureaucratic politics" model (Allison 1971) an organization consists of a number of groups with conflicting interests involved in a competition for power. Power, conflict and interest are the predominant concepts in the "political" metaphor (Morgan 1986, ch. 6).

"Steering at a distance" relates to the policy-network theories, not only in the sense that ministerial "reflective practitioners" were apparently acquainted with modern theories on public policy and administration but also because the new concept contributes to scientific development by further elaborating analytical concepts in a practical way. Abstract theoretical notions have been elaborated, translated and applied to the practice of public administration.

Coordination and Networks

The essence of the network model can be illustrated by contrasting it with the model of hierarchical coordination. The two main ingredients of the

hierarchical concept of coordination are (Meyer 1969): the mutual adjustment of parts and the attainment of some common objective.

According to the Weberian ideal-type, a public bureaucracy is a hierarchical, centralized, formal, procedural organization designed to implement the decisions of democratically chosen politicians in a "zweckrational" way. Coordination from a hierarchically superordinated position fits this picture. In reality, however, government and bureaucracy are not monoliths serving one common public interest. Bureaucracies consist of various subsystems with different and often conflicting interests and objectives, with various (power) positions in competition with each other. There is no single subsystem with sufficient power to assume the hierarchical role of coordinator.

Abundant empirical evidence points to a far less rational and efficient picture. The picture is rather of a continuous struggle between competing parties — a world of competing organizations where coordination and integration are practically impossible, the world of bureaucratic politics (Allison 1971). The network character of a government bureaucracy can to some extent be related to its own organizational features. In the ideal-type bureaucracy, expertise prevails and specialization is the main principle of organizational decomposition.

Specialization leads to differences in the rationality (expertise and skills) of the various actors. Skilled experts with different specializations have different educations, come from different disciplines and have different norms and values. This applies particularly if not only specialization but also professionalization is involved. Professionals derive their terms of reference from their profession. Specialists have their own rationality and cannot be hierarchically ordered under a single overall rationality. If coordination by definition presupposes one common organizational goal, and if a multi-rational network by definition lacks a common overall goal, then it logically follows that coordination cannot work in such a network.[5]

Incentives

In a network situation top-down control is impossible simply because there is no top. The network determines to a large extent its own course of events. However, from the point of view of government responsibility, it is relevant to consider how such a system could be steered in some collectively desirable direction. Assuming that in a network of nearly-autonomous actors no coercive steering can be exercised by any actor, steering must be non-coercive and must occur by stimulating the actors to display the collectively desired behavior of their own free will. Top-down control must be replaced by a varied system of incentives which influence the actors in a desired direction. This is steering by "incentives" or behavioral stimuli of a non-coercive nature. The central question with

incentives is how autonomous actors can be stimulated without regulations, prohibitions or other coercive measures to display certain behavior.

Steering by means of incentives is almost a form of non-steering. The point of departure is that a network does not allow much (coercive) steering. Instead of choosing "more of the same" when steering fails, it should be acknowledged that certain systems are virtually uncontrollable and unorthodox methods should be applied. The ministry of education and science realized the limited extent of governability of the system of higher education and explicitly adjusted its traditionally coercive steering instruments to match reality.

CYBERNETICS AND SYSTEMS

Output Feedback

The principle of feedback plays an important role in systems theory and cybernetics. This principle stems from the insight in control engineering that a system with a feedback loop is more stable and better able to recover from disturbances. The idea of maintenance also lies at the heart of the cybernetic concept of "homeostasis" (Wiener 1948). A homeostatic system is capable of self-maintenance, of recovering from external disturbances. A feedback system requires that the outcome of the system is measured, compared with the required output, and that any difference between actual and desired output is fed back in order to correct the system.

Government steering restricts itself primarily to input steering. Financing, personnel, and regulations and prescriptions usually apply only to system input and not to output. The white paper on autonomy and quality of the ministry of education and science explicitly emphasized the necessity of steering for output quality in higher education. Assessment of output quality was a stated cornerstone of policy. In the financing system the numerical outputs that were considered desirable (number of graduates, duration of study, etc.) were determined and the institute which met the standards were rewarded while a penalty was imposed on those which did not. However, the system of monitoring and control of the quality of higher education aims at more than simply quantitative (numerical) measures relating to the output of higher education.

Open System

In the Dutch political tradition where consultative and advisory organizations play an extensive role in the preparation and implementation of government policy — a situation which *a fortiori* holds true in education — the statement that government interacts with society seems superfluous. The ministry of education and science is surrounded by an extensive and complex system of advisory and consultative organizations. At first

sight the open educational system is so well-structured that to outsiders it has the impression of being an almost impenetrable bastion, as the frequent reference to this system as the "pedagogic province" reflects. It is hardly possible for social organizations outside the educational system to have influence. The large number and diversity of consultative bodies, advisory groups, pressure groups, interest groups, etc. form an "iron ring" around the ministry which makes it very difficult for an outside group to gain a seat at the ministry negotiating table. Moreover, the political history of education makes the balance between public and private education so precarious that it is feared that outsiders will be dangerous and disruptive. To maintain such a tightly closed educational system seems, however, unwise, undesirable and even harmful.

One key function of education is preparing people for the labor market. From this viewpoint it seems wise and desirable to give the "customers" a say in the education of their future workforce. Both public and private employers' organizations as well as employees' organizations and professional groups should influence education. The need for a better relationship between the labor market and in particular vocational education is urgent particularly in view of the high unemployment rate in the Netherlands.

*The fact that the educational system is so closed might also harm its public confidence and political support. The imbalance between the in*creasing demand for education and its low public and political support has been noted above. Politicians are reluctant to increase the fairly large and unmanageable ministerial budget when no one outside the pedagogic province seems to be allowed to have any significant influence on the system. The ministry of education and science now has explicitly invited other social organizations to participate in the planning procedure. The higher education and research plan emphasized the need for these social groups to play an influential role in developing higher education.

Adaptivity and Self-Steering

The concept of openness is crucial in system theory. A system is related to its environment. Social systems are without exception strongly interdependent with their environment. This interdependence should not be interpreted only in the negative sense of environmental disturbances on a system which must maintain its stability. Interdependence with the environment can also be interpreted in a neutral or positive sense. Education and society are related in the sense that education has key functions in society such as personal and cultural development and vocational preparation.

Dependence on the social environment was the main argument for introducing "steering at a distance." Existing government steering was perceived as being an obstacle to the optimal and flexible adaptation of higher education to changing societal demands. The need to adapt flex-

ibly and to be innovative in response to social changes induced the ministry to place more emphasis on the self-steering capacity of the system, and increase its autonomy and self-responsibility. The existing detailed regulations were seen as inhibiting flexibility. Self-steering was supposed to increase adaptability, flexibility and innovation.

Multilevel System

The 1985 white paper on autonomy and quality announced that the ministry would henceforth no longer intervene at the detailed level of study programs and research programs but would limit itself to interventions at no lower than the "sector" level. Higher education is a multi-level system. When designing the steering of a multi-level system the type and content of the steering instrument should differ for each level. Intervention at the level of a particular study program differs from intervention in an overall university budget. If this is not the case, it is possible that different interventions at different levels will be inconsistent or even counterproductive. Regulations, financing and planning now no longer affect the system beneath that particular level.

It should be noted that the self-imposed restriction of the ministry did not mean that the ministry did not need to obtain information about activities beneath that level. In principle, information gathering and steering are not the same thing. In practice, however, the universities were not particularly responsive to such fundamental distinctions and feared that providing information might ultimately lead to reactions from the ministry about the revealed "evidence," especially if that evidence were unfavorable.

DISCUSSION

The preceding description of "steering at a distance" in Dutch higher education, its place in the socio-political context and its scientific relevance, has, I hope, been convincing enough to prove its relevance for countries outside the Netherlands.

In the introduction it was claimed that the new form of government steering has practical as well as scientific relevance. The changes in public governance were so comprehensive and radical that the use of the term "new paradigm" appears justified. Although my involvement in the development of the new "steering at a distance" at the ministry undoubtedly made me a biased and prejudiced observer, the reader may by now have been convinced that these claims were not exaggerated.

Fundamental Difference

In my view one cannot emphasize enough how important the fundamental differences between the old and new forms of steering are. The differ-

ence between the "old" top-down hierarchical steering by means of legal prescriptions and regulations and the new steering "at a distance" in terms of autonomy and *ex-post* corrections based on the quality of output should not be underestimated. In theory it is clear that a network of semi-autonomous actors cannot be controlled top-down by some central actor. However, the practical significance of the difference cannot be ignored.

Many instances of deregulation, of the replacement of direct legal prescriptions with increased autonomy, can be cited. These situations are often accompanied by a serious identity crisis at the ministry. Tasks, responsibilities and authority used to be clear. The ministry made the rules, stipulated what others had to do and verified whether the bodies concerned were complying with the rules and regulations. Where this was not the case, correction took place and a penalty was imposed. The essence of the new situation is that the past is over. What then are the remaining tasks and responsibilities and how should governmental steering be implemented? In other words, what is the remaining government responsibility for coordination? My experience is that such confusion and identity crisis can reach great heights.

The ministry of education and science has developed a new concept of steering which removes this disorder. The remaining governance is not just a little less of the same old hierarchical coordination. *Ex ante* control by means of regulation is replaced by *ex post* feedback control through quality assessments. In order to avoid a crisis and confusion which can be demoralizing for civil servants during the process of changing the remaining government tasks and fundamental responsibilities, it is important to stress the qualitative difference.

One consequence is that disappointment with the results of increased autonomy should not be permitted to lead to the restoration of the old corrective mechanisms, that is, to the re-introduction of corrective regulations, prescriptions and prohibitions. Disappointments, failures and disasters will surely occur. Some politicians and civil servants who lost their previous clear and powerful positions may be awaiting the chance to return to the good old days and reintroduce the traditional well-known forms of public governance. The danger of an insidious slide back to the old days is always present. Stressing the radical difference in steering can help prevent that.

No Withdrawal From Steering

Steering at a distance is not a form of government withdrawal, a partial abolition of government steering capacity. This may be wishful thinking by some universities hoping to be freed of ministerial interference, or fear on the part of some politicians or civil servants expecting to lose their discretionary power, or a true misunderstanding, but that is beside the point. It was neither the intention, nor will it be the effect, to withdraw

from steering. The original argument for "steering at a distance" was not based on a political ideology about the need to reduce influence by a government which was too strong. Although the liberal-Christian coalition at the time had stated that its main policy was to "cure" the economy by cutting government budgets and wished government to withdraw from its exaggerated position of control, the minister of education and science based his "steering at a distance" proposals on lack of effectiveness. The existing government steering of higher education was ineffective and was hampering flexible adaptation and innovations. It was therefore necessary to increase autonomy and to alter steering. The intention was not to abolish steering, but rather to increase its effectiveness. The conviction was that "steering at a distance" alongside autonomy for the institutes concerned would ultimately be more effective in optimizing quality, increasing efficiency and achieving innovations.

The 1990 review of Dutch education by OECD examiners devoted extensive and critical attention to the effectiveness of the new form of steering. They even questioned whether the ultimate effect would be increased autonomy for the institutes of higher education. In their view two opposing developments could be perceived. On the one hand, making regulations less specific, increased autonomy, and a less coercive planning procedure, all point in the direction of an increase in autonomy. On the other hand there was the possible counterweight of the system of quality assessment. This system is still being built up. It was not yet quite clear what exactly would be assessed and how. What definitely was unclear was the purpose for which assessments would be used and by whom. The division of responsibilities between government and institute in the follow-up to quality assessments was also unclear. Government possesses the legal instruments to react rigorously to negative results. The OECD examiners therefore questioned whether the increase in autonomy could not be outweighed by the effects of quality assessment. If so, government steering would in fact grow rather than diminish.

As far as the relevance to the outside world of the Dutch experience with the new form of governance, a few comparative remarks can be made.

The most direct relevance would be obtained by an international comparison of the same subsector in society, that is, higher education. Such an exercise will not be performed here because it has already taken place (Van Vught 1989). Teichler (1989) was critical of government regulation of higher education in the Netherlands. Teichler concluded that deregulation and autonomy are misleading terms, confidence in the new form of control on the part of the universities was low, and fears existed that the new nationwide system of quality assessment might not outweigh the "steering at a distance."[6] Comparisons can also be made with major developments in government steering in the United Kingdom and the United States.

One of the major developments in British central government is the "Next Steps" operation to increase the autonomy of "agencies" concerned

with delivering government services (HMSO 1988; Kemp 1990). The management of these executive branches of government should be freed as much as possible from unnecessary central regulations and constraints and they should obtain executive autonomy within a policy and resources framework set by the ministry. More autonomy of agency managers is supposed to lead to greater efficiency and improvement of service quality. So far the operation has led to the creation of some 30 agencies together employing some 80,000 staff in 1990. The "Next Steps" proposals stress the importance of fundamental changes in attitude and culture. The center of government must learn to have confidence in autonomous agencies. Civil servants are over-oriented towards policymaking and should become more management-oriented. Quality of performance and efficiency should count for more.

Despite the apparent parallels with Dutch "steering at a distance," a warning against easy comparison is in place. "Next Steps" is concerned with executive agencies within central government. Universities and polytechnics are definitely not part of central government. Administrative relationships are therefore different. Elsewhere I have compared the British experience with agencies with Dutch developments in central government (Kickert 1991). One of the major developments in government steering in the United States seems to be the restoration of public trust and political support for government and the public sector (Volcker 1990), something which is a matter of urgency after a period in which "bureaucrat bashing" reached great heights and government withdrawal was more or less the official policy of the administration. In this respect the Dutch example where the ministry did not choose to apply a "more-of-the-same" approach to repair its failing governance but rather chose a radically different approach to restore its effectiveness and thus increasing its legitimacy may be of assistance to other public services.

Notes

1. This article is a revision of a paper presented at the workshop on governance (Director J. Kooiman) at the joint sessions of the European Consortium for Political Research, Colchester, March 1991. The author is grateful for comments received from the director and participants of the workshop and from referees of this journal.
2. Protestant and catholic parties therefore merged into one combined christian-democratic party some ten years ago. This party plays a central role in Dutch coalition politics as it is located in the midst of the political spectrum between the social-democratic party on the left and the liberal party on the right. Parliamentary majority in the Netherlands can only be achieved by a coalition and neither a center-right nor a center-left coalition can do without the christian-democratic center.
3. A plea from the christian-democratic side for the reinforcement of social intermediate institutions looks politically suspect. Traditionally these are compartmentalized organizations based on religious convictions. Elsewhere, however, I argued that it is too simple to consider it as an attempt to regain power, let alone as an attempt to re-polarise Dutch society (Kickert 1989).

4. This plan was published in a booklet called *The Entrepreneurial University* (SMO-books, The Hague, 1986 in Dutch). One member of that group is now the minister of education and sciences.
5. Non-hierarchical, non-collective, purely autonomous decision-making in a multi-actor system can mathematically be modeled as an n-person-game. There is no need to point at well-known irrationalities of possible outcomes of such games (e.g. the prisoner's dilemma). In such a situation the only form of "coordination" which can take place is at the meta-level of the rules of the game.
6. The striking similarity with the conclusions of the OECD-review of Dutch education is not surprising: Teichler was one of the OECD-examiners.

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